EASYSHIFTHQ

The Restaurant Daily P&L Cheat Sheet

How to read your numbers every day — in 5 minutes — instead of finding out two weeks late.

If you've ever closed a month and found out you lost money on a Tuesday three weeks ago — when there was nothing you could do about it — this guide is for you. It's a 5-minute daily ritual built for independent restaurant owners running 1–5 units.

WHAT YOU'LL GET

- A printable Daily P&L worksheet (the companion .xlsx).
- The four numbers that actually matter, with industry benchmarks.
- A 5-minute daily ritual you can run on your phone.
- The red flags to watch for and what to do about each.

Why this exists

Most restaurant P&Ls show up two weeks too late.

Your bookkeeper closes the month, sends you a report on the 12th, and you discover you lost $3,200 on a slow Tuesday three weeks ago. You can't go back and re-cut the schedule. You can't go back and stop the food waste. The leak already happened.

By the time you see the number, it's history. And restaurant operations is one of the few businesses where small daily leaks compound into the difference between a healthy 12% operator and one who's quietly drowning.

Why daily visibility wins

If you know by 9am tomorrow morning that yesterday lost money — and which line caused it — you can fix the schedule today, recount inventory today, talk to the manager today. That's the entire mechanic. The same leak you'd lose 30 days of money to becomes a single bad day you actually catch.

This guide isn't accounting theory. It's a one-page-per-day practice. The companion spreadsheet computes the math. Your job is to spend five minutes looking.

What "good" looks like

A healthy independent restaurant runs prime cost (food + beverage + paper + labor) under 60% of revenue. Net income lands somewhere between 8% and 15% of revenue depending on concept. Anything outside those bands is a signal — not a verdict, but a place to look. The benchmarks table at the back of this guide gives you the rest.

The four numbers that matter most

If you only ever look at four lines on your P&L, look at these. Everything else is supporting cast.

1. Prime Cost *(the king)*

What it is: Cost of goods sold + Labor, as a % of revenue. The two big variable cost buckets, combined. Most restaurant operators agree this is the single most important number in the business.

Healthy: under 55%. **OK:** under 60%. **Tight:** over 65% — every dollar of revenue is barely covering what it cost to make and serve.

Why it matters: COGS and Labor are the two costs you can actually move week-to-week. Rent doesn't negotiate; royalties are fixed; insurance is fixed. These two are where every fight is won or lost.

2. Food Cost %

What it is: Food (and beverage, and paper) cost ÷ revenue. **QSR target: 28–32%.** Casual dining: 30–34%. Fine dining: 32–38% and up.

Why it matters: If you're 3+ points above target for a week, you almost always have one of three things going on: portioning drift (the new line cook is being generous), shrinkage (theft or waste), or vendor price creep (your sysco order went up 4% and nobody noticed).

3. Labor %

What it is: Total labor (wages + payroll burden) ÷ revenue. **QSR target: 25–32%.** Fully loaded — including taxes and benefits, not just hourly wages.

Why it matters: Labor % spikes on slow days because the schedule was built for an optimistic forecast. Lunch was dead, but you still had four hands on. The fix is forecasting and tighter shift management — not cutting people.

4. Net Income %

What it is: Bottom line as a % of revenue. The number you'd answer if someone asked "is this a healthy business?"

Healthy QSR: 8–15%. If you're consistently below 5%, the leak is structural — usually rent, royalties, or under-priced menu items relative to your COGS — and no amount of daily tweaking fixes it. That's a different conversation.

Your 5-minute daily ritual

Before lunch. Every day. Five minutes.

1. Open the worksheet.

Open the .xlsx companion to this guide. Today's date is filled in for you. Use yesterday's data — by 9am you should have everything you need.

2. Punch in revenue.

From your POS dashboard: net sales (after tax) and any tips collected outside the POS. Catering or other income too if you ran any.

3. Punch in COGS.

Food cost, beverage cost, paper / packaging. Pick a method — purchases received that day, OR food sold that day — and stick with it. Most operators use purchases received because it's easier; the worksheet works either way.

4. Punch in labor.

Hourly wages run yesterday (your scheduling tool's labor report), salaried wages allocated daily (monthly salary ÷ 30), and payroll taxes + benefits (roughly 15–20% of wages).

5. Punch in operating expenses.

Daily allocation of rent (monthly ÷ 30), utilities estimate, royalties (% of net sales for franchises), marketing, and a single "all other" bucket.

6. Look at the yellow box.

That's today's number. If it's green and over 8%, you had a healthy day. If it's red, the worksheet tells you which line was the problem.

If you do this for 30 days, you'll spot the pattern of where money is leaking — in real time, before the month closes. That alone will pay for the discipline.

Common red flags (and what to do about each)

Each of these is a pattern you'll see in the worksheet over a few days. The fix is rarely dramatic — it's usually a small adjustment caught early.

Prime cost trending up week-over-week with no obvious cause.

Likely cause: shrinkage (waste, theft, over-portioning). **What to do:** run a physical inventory count this week and compare to your theoretical (recipe-based) usage. The gap is the leak.

Labor % spikes on slow days.

Likely cause: the schedule was built for an optimistic forecast. **What to do:** retroactively look at the labor schedule for that day. Tighten next week's by one shift if the pattern repeats.

Food cost % stable, but net income falling.

Likely cause: vendor price creep — your costs went up 4% and nobody noticed. **What to do:** compare last month's invoices to this month's, line by line. Renegotiate or change items.

Revenue OK, but net income negative.

Likely cause: rent, royalties, or fixed costs are eating you. **What to do:** this is structural — daily ops won't fix it. Worth a strategic conversation about menu pricing, lease, or concept.

One day a week is consistently bad.

Likely cause: you're staffing for a daypart that doesn't exist on that day. **What to do:** pull last 6 weeks of that day's hourly sales. If it's slow before 11:30am every Tuesday, open at noon on Tuesdays.

Industry benchmarks reference

Typical ranges for healthy operators. Your numbers will vary by concept, location, and season — use these as a sanity check, not a verdict.

	QSR / Fast-Food	Fast-Casual	Casual Dining	Fine Dining
Food cost %	28–32%	28–32%	30–34%	32–38%
Beverage cost %	18–24%	20–25%	20–25%	20–28%
Paper / packaging %	3–5%	3–5%	1–2%	<1%
Total COGS %	30–35%	30–35%	30–35%	32–40%
Labor % (loaded)	25–32%	28–34%	30–36%	32–38%
PRIME COST %	**55–62%**	**58–65%**	**60–66%**	**62–70%**
Rent / occupancy %	6–10%	6–10%	6–8%	5–8%
Royalties (franchise) %	5–7%	5–7%	—	—
Marketing %	2–5%	2–4%	2–4%	1–3%
Utilities %	3–5%	3–5%	2–4%	2–4%
Net income %	**8–15%**	**6–12%**	**4–10%**	**5–12%**

Source: composite of National Restaurant Association industry data, Restaurant365 industry surveys, and operator-published P&Ls. Use as directional ranges, not absolutes.

If you'd rather not do this manually

Doing this every day works. It also gets old by week three.

EasyShiftHQ — the company that made this guide — does the same math automatically. It connects your POS (Square, Toast, Clover, Shift4), your payroll, and your bank, and shows you yesterday's number every morning by 8am. Same metrics. Same benchmarks. None of the data entry.

Three things automation buys you

Time. The 5-minute ritual stays useful for one operator at one location. At 2+ locations or with any complexity, manual entry stops being viable.

Accuracy. POS data syncs cleanly. Bank transactions reconcile to expense entries automatically. Variance against theoretical recipe usage is computed in the background — the kind of analysis that catches portion drift before you'd ever spot it on a manual sheet.

Multi-unit visibility. If you're running 2 or 5 locations, one dashboard rolls them up. You see which store is the leak before the manager calls you about it.

Try it free for 14 days. No credit card.

easyshifthq.com

Built by an operator running a Cold Stone Creamery / Wetzel's Pretzels co-brand in San Antonio. Every feature has to survive a weekend at his store before it ships to you.